

The AD Project Portfolio: Get a Grip

Attempts to manage project portfolios have been frustrated by a lack of practices and tools providing reliable information to facilitate control. Here, we offer a framework for continuous portfolio validation.

Core Topics

Applications Development: Applications Development Process Management; Applications Development Project Management

Key Issues

What project management best practices will assist AD organizations in maximizing return on investment for their AD projects while reducing the potential for cost overruns, late delivery and scope creep?

What strategies, processes and techniques will assist AD organizations in reducing their exposure to project failures?

Strategic Planning Assumptions

An AD organization of 100 developers can expect to spend more than \$10 million on canceled software projects through 2002, without significant changes to its project management processes (0.8 probability).

Through 2001, organizations using rigorous gating criteria to move to the development phase will save more than 80 percent on wasted development costs of single-project cancellations and more than 25 percent in total organizational costs for canceled projects (0.7 probability).

To better control their AD and other projects, IS organizations typically focus on more tightly tracking their projects in progress (e.g., via time reporting). Tracking individual projects against schedules certainly helps account for costs, but is useless for estimating or prioritization, inadequate for scheduling shared resources and not much help for optimizing allocation of specialty skills. To help IS organizations prioritize and schedule, account for costs and efficiently apply resources across their project portfolios, we recommend that IS/AD management not only analyze the project portfolio's mix but continuously validate it.

Figure 1 shows a four-phase process with a view toward this validation. The bar across the top gives a panel of sample indicators for continuously evaluating projects against one another and against business goals. For example, in the chartering phase, a growing imbalance between strategic or innovative projects and maintenance work could provide a warning signal. To avoid excess overhead, management will have to set a threshold (e.g., one person week) below which work is not subject to a full "chartering" review; such work, however, must still be entered in the system's chart of accounts to enable time capture.

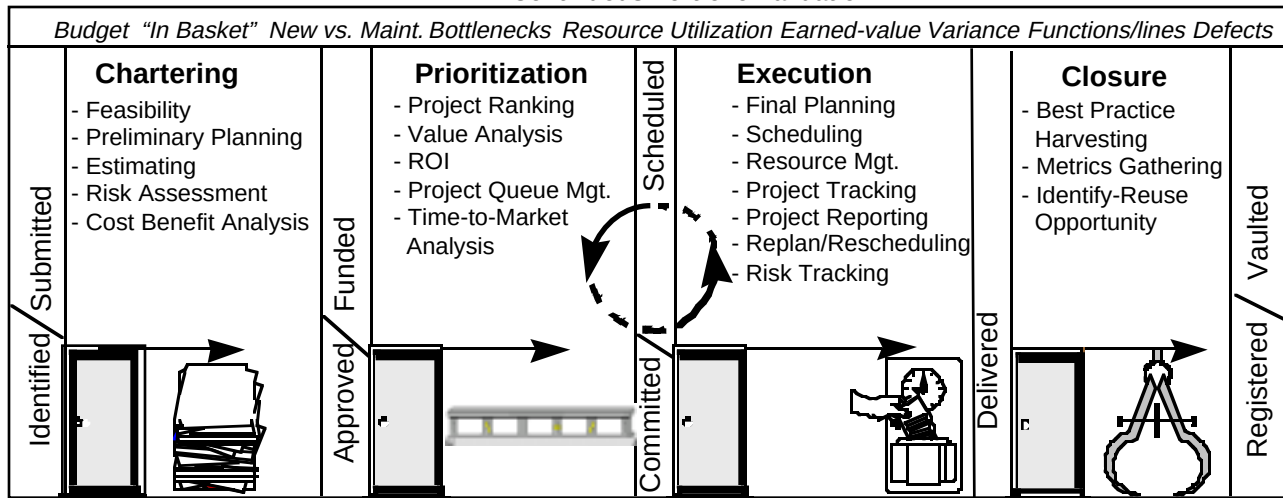
The cycle of iteration depicted between phase 2 (prioritization) and phase 3 (execution or "micro" project life cycle) signifies the reprioritization and rescheduling of projects based on portfolio validation. These phases interact fluidly, so a project's place in the queue is changeable. Forecasting availability of key resources can demote those projects in the queue that will require those resources, and the enterprise project management tools can be used to plan and control this (see Note 1). Thus, the "gate" involves a reverification of a project's critical success factors, including resource availability and the continued validity

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of the business case. Also, shifting business, technology and market conditions can rearrange priorities, as with many Web projects in the last couple of years.

Figure 1
Continuous Portfolio Validation



Source: GartnerGroup

Note 1

Representative Enterprise-Class Project Management Tools

ABT: Results Management, Repository/Workbench

American Management Systems: Realtime Projects

Artemis Management Systems: Views

Innate: MultiProject

Mantix: Cascade

Micro-Frame: Business Engine

PlanView: PlanView

Platinum Technology: Process Continuum

Primavera: Project Planner

Welcom: OpenPlan

The closure phase begins with the post-project review. How long did the project really take, what was its actual size and what functionality was delivered vs. requirements? Quality and defect metrics are collected during this closure phase, via a shakeout period of about three months, and as defects are corrected any reusable components can be "hardened" for possible later reuse. Increasing defect rates or late delivery can provide warning signals.

A project office is appropriate to provide the project portfolio reports and forecasts required by IS/AD management. Project office-like organizations are increasingly used to provide either project managers or project management training, as well as to log new skills and knowledge gained, capture best practices, track defect rates, provide reuse services and related work. Most IS organizations can gain both speed and quality from a project management competency center.

Bottom Line: IS organizations struggling with canceled projects, inefficient resource utilization or frequent postponement of high-value application work should attempt to "get a grip" on their project portfolios using a process framework like that outlined here, enabled by use of project management tools and appropriate organizational mechanisms.

Acronym Key

AD Applications development
IS/AD Information systems/applications development
ROI Return on investment